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The mega *IPO trap* exposed.

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SWIPE



Headline billions *mask venture* liquidity exits

Retail traders view Enflame's **RMB 6.12bn** Star Market listing as a guaranteed growth signal. In reality, mega-tech listings on speculative growth boards transfer early-stage venture risk onto public retail investors at peak cycle valuation multiples.



Institutional lock-in *valuation decay*

Legal advisors standardize listing structures to maximize early-backer liquidity. As initial private equity lockup periods approach expiration, concentrated institutional supply dumps onto retail buyers, creating severe price compression across high-multiple AI semiconductor listings.



Retail buys *the order* flow trap

Institutional allocations secure early entry while day-one retail buyers pay inflated listing premiums. On speculative growth boards, secondary market volume is driven by institutional distribution, leaving retail traders holding illiquid shares during inevitable price corrections.



Valuation math *destroys retail* capital

When a semiconductor firm enters at peak multiples, a **50% drawdown** requires a **100% gain** just to break even. High-multiple listings missing near-term earnings guarantees compound losses rapidly as multiple compression normalizes valuations.



Execute the *post-IPO discipline*

Never purchase day-one tech IPO shares on speculative growth boards without verifying trailing price-to-sales ratios and institutional lock-in expiration schedules. Require at least two quarters of audited public filings before allocating capital.



Audit before

allocating principal

Run this mandatory 3-point audit: First, cross-reference trailing price-to-sales against industry benchmarks. Second, map institutional lockup expiry dates to anticipate selling pressure. Third, verify actual cash flows rather than top-line listing valuations like **RMB 6.12bn**.



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